Portland Public Schools Community Budget Review Committee

2026-27 Annual Budget Review

Presented to the Board of Education

May 12, 2026

Background on CBRC

Community Budget Review Committee (CBRC) reviews, evaluates and makes recommendations to the board regarding the Superintendent's Proposed Budget and confirms that the Local Option Levy funds are being spent according to the voters' wishes. It provides a vital connection between the district and school students and families.

Purpose and Focus Analysis of Budget Alignment with Board Goals

1. Third-Grade Reading
2. Fifth-Grade Mathematics
3. Eighth-Grade Readiness
4. High School Graduation



CBRC Core Messages for 2026-27

- ➔ Mitigating the direct impact of reductions on students and classroom staff is a top priority for the communities CBRC represents.
- ➔ Without a structural plan that spans several years, PPS risks drifting further into austerity while losing sight of its goals for equity, excellence, and innovation.
- ➔ Transparency is key to public trust, and the CBRC has identified multiple recommendations to improve the public's ability to understand where PPS resources are allocated and how they are reaching students.

Timeline & Process Challenges

- To ensure accountability, CBRC requests:
  - Significantly more review time
  - Access to multi-year forecasts
  - Object-level spend by function
  - Ongoing engagement throughout the year
- To maintain transparency and community trust, CBRC recommends:
  - The Board adopt a formal feedback loop in which the district reports on CBRC recommendations that were implemented

Budget Accessibility and Transparency

In the budget, costs like construction and debt payments are mixed in with student spending in ways that are difficult to untangle, and there is no accounting of student-facing vs. non-student facing spend.

CBRC recommends:

- Develop a **publicly-available category definition** of student-facing and non-student facing roles
- Create and present a **comprehensive per-pupil analysis of the operating budget** (without capital construction or debt service)
- Provide **function and object line-item budgets within** each A) major function, B) major object, and C) major fund (*already there*)

Levy

In the budget, costs like construction and debt payments are mixed in with student spending in ways that are difficult to untangle. One consequence of this is that the budget does not specifically account for where the local option levy money is spent.

CBRC recommends:

- Provide **function and object line-item budgets within** each A) major function, B) major object, and C) major fund (*already there*)
- Release **cross-walked function and object data**, to enable budget reviewers to answer questions such as, “What proportion of Elementary K-5 instruction is spent on classified salaries?” that are not possible to address in the current structure

Benchmarking

The CBRC has noted that instruction comprises a smaller part of PPS's budget compared to support services than national averages. CBRC recommends:

- **Develop a policy to proactively conduct and publish benchmarking analyses** comparing PPS's instructional spending proportion and per-pupil instructional absolute expenditure to national averages and peer urban districts, on a regular 3-year cadence to align with and inform the district's 3-year planning cycle
- Use benchmarking to support **operational efficiency:** The 2022 recommendation Follow-up Report by the Oregon Secretary of State coupled with a recommendation for PPS to "conduct regular and public peer benchmarking"
- Assess whether any gap in instructional or operational resources falls **disproportionately on historically underserved students**, and report findings to the board and community with specific recommendations if such a gap is identified

Risks in the Budget

CBRC is concerned that budget relies on overly optimistic assumptions.

- Labor - 1% COLA is significantly lower than historical trends and current labor proposals.
- Revenue - CBRC questions if property tax projections are conservative enough to avoid a repeat of the 2025-26 mid-year deficit.

While we appreciate the inclusion of expense buffers and the focus on student stability, the district must use more conservative projections to prevent another mid-year shortfall and maintain public trust.

Proportionate Reduction Framework

To address the budget gap while prioritizing equity and stability, CBRC recommends a proportionate reduction framework focused on these priorities:

- Protect Vulnerable Students - Preserve ELD services and middle school mental health supports.
- Maintain Equitable Access - Retain ACCESS transportation and inclusive programming.
- Weighted Reductions - Avoid uniform staffing cuts; apply reductions in a manner that protects high-need schools.
- Transparency - Provide program-specific accounting of staffing changes for ELD, counseling, and special education.
- Strategic Retention - Balance core services with high-value arts, athletics, and advanced learning to stabilize enrollment.

Advocacy

The CBRC appreciates the district's transparency regarding state funding impacts. To address current deficits and ensure long-term stability, we urge the district to expand advocacy for the following reforms:

- PERS Rates - Form a statewide coalition to separate PERS liabilities from the State School Fund. This ensures the state fulfills pension obligations directly and provides transparency for instructional spending as rates rise from 4% to 23%.
- Special Education Funding - Advocate to raise the 11% funding cap to better support the 17% of PPS students receiving services, ensuring all new mandates are fully funded.
- Student Investment Account (SIA) - Ensure SIA funds provide additive support for mental health and student services rather than backfilling State School Fund gaps.
- Education Stability Fund - Secure one-time dollars from this fund to minimize service disruptions during structural budget adjustments.

Blended Classrooms

The committee remains concerned about potential student tracking inequities, teacher stress, and the lack of stakeholder input. CBRC recommends:

- The district evaluate the long-term efficacy and equity of this model
- The district explicitly identify multi-grade enrollment in data systems for outcome tracking
- Future reports include interviews with families and educators and specify where licensed staff are utilized for math instruction

These measures are necessary to confirm if blended models maintain educational standards while reducing costs.

Reference: Multigrade Teaching and Learning in Portland Public Schools

Contracted Services

The CBRC is observes a 62% increase in Purchased Services, which rises from $270 million to $437 million. CBRC recommends:

- The Board direct the district to reduce third-party spending by renegotiating contracts or seeking lower-cost alternatives.
- To ensure future fiscal responsibility, the district must provide a transparent breakdown of all professional service contracts and evaluate these expenditures based on effectiveness and equity impact.

Alternative Revenue

To ensure operational sustainability and reduce structural risk, CBRC recommends formalizing a Community Investment Strategy focused on equitable, durable funding through the following initiatives:

- Community Benefit Agreements (CBAs): Partner with major local institutions to generate recurring revenue for district-wide athletics, arts, and extracurriculars.
- Scaled In-Kind Partnerships: Establish a centralized office to expand models like the Lincoln/MAC and McDaniel/People's Courts agreements, scaling low-cost enrichment opportunities equitably.
- Strategic Asset Use: Prioritize public-public partnerships over property sales. This includes converting underutilized buildings into affordable housing to stabilize enrollment and leveraging assets like One North for ongoing revenue.
- Modernized Fundraising: Replace school-specific fundraising with district-supported, equity-based models to eliminate neighborhood wealth disparities.

Long-Term Outlook

- The CBRC commends the Board and staff for efforts to implement a long-term strategy and community engagement process in this year's budget, as recommended in the previous report.
- However, we re-emphasize the need for continued structural reductions and a clear fiscal strategy. With PSU's Population and Research Center predicting enrollment declines through 2029-30 and a budget gap projected for 2027-28, this year's changes are only a first step.
- We urge the Board to continue implementing long-term strategies—including program or location reductions if necessary—to rebuild reserves. We also request increased candor regarding goals and timelines, ensuring ongoing opportunities for meaningful community input.

CBRC Members

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Questions & Discussion

